

VP-14

Respondents' Joint Reply to Company Petition

VertexPay, Nisha Rao and Kavya Menon | Draft dated 3 November 2025

Entity	VertexPay Technologies Private Limited
Status	Participant Case File
Benchmark note	Synthetic record. Names and identifiers are fictional; statutory and regulatory sources are real.

Preliminary objections

1. The petition repackages personal employment and SHA disputes as oppression. Lawful loss of office and commercial disagreement do not by themselves satisfy sections 241-242.
2. Contractual disputes, damages and validity of notices under the SHA should be referred to arbitration. The Respondents accept that the Tribunal decides non-arbitrable statutory relief, but request segregation of claims.
3. The Petitioner suppressed his directions to split related-party payments, the inaccurate PA-application email, source-code export and unsupported revenue instruction.
4. Urgency and customer risk required decisive action. The Company faced payroll default and a top-customer suspension. Meridian supplied rescue capital when the Petitioner proposed no committed funds.

Respondents' factual case

Vertex Labs received INR 24.1 million without complete approvals. The Petitioner instructed misleading narrations and splitting. Although no direct personal receipt is yet traced, the undisclosed benefit to his brother and documentary concealment justified investigation and loss of confidence.

The Company says Article 18 governs corporate quorum. The SHA cannot be used to paralyse statutory powers when the protected director is conflicted. Alternatively, the EGM and subsequent Board action cured irregularities. The Petitioner had actual knowledge of the meeting and deliberately delayed joining.

The bridge price reflected a distressed valuation, Nimbus risk and a 90-day liquidity requirement. Meridian took risk on the same terms as Riverstone. Nisha was offered participation orally on 6 September and declined. The formal 15-Business-Day process was impracticable, but the Respondents rely on the SHA emergency-financing obligation.

The Respondents say the identified-offeree and valuation requirements under sections 42 and 62(1)(c) and applicable rules were followed. They say PAS-4 and PAS-3 materials contain confidential investor information and will be produced under directions of the Tribunal; no such documents or

acknowledgement accompany this reply. They admit the Riverstone receipt was INR 0.9 million short on the allotment date but contend a separate diligence-fee adjustment was authorised, which the Petitioner disputes.

The Respondents deny a completed confiscation. The 35% call is subject to legal power, valuation questions and payment; it has been held in abeyance. Employment termination and director removal are separate. Rohan's reservation is admitted, and the word 'unanimously' in the 1 October minutes is said to be a drafting error not affecting majority approval.

Paragraph-wise admissions and denials

Petition topic	Response
Shareholding	Admitted: 4,050,000 shares; disputed legal effect of bridge challenged
Runway	Admitted severe; Petitioner says forecast manipulated
Nimbus	Admitted cure issues; denied that leadership change was demanded
Board 12 Sep	Admitted Founder absent; validity maintained under Articles
Notice/service	Dispatch admitted to register email; receipt and attachment completeness disputed
Representations	Receipt admitted; full circulation denied as defamatory/late
Valuation	Existence asserted; production withheld pending confidentiality order
Riverstone payment	INR 17.1m received; INR 0.9m fee set-off disputed internally
Forensic conclusion	Final report still not produced; fraud conclusion defended on then-available evidence

Relief sought

- dismissal of the petition or confinement to genuinely statutory issues;
- reference of arbitrable contractual and damages claims;
- no restoration of system or Board access that endangers customers;
- permission to complete independent forensic work and a neutral valuation;
- in the alternative, a fair-value exit without rewarding proven misconduct; and costs.

Evidence and verification

The reply relies on Board and EGM records, financial report, bank records, customer correspondence and email extracts. It does not exhibit the native forensic image, complete valuation, subscription agreement, platform recording or electronic-record certificate. Nisha verifies matters within her knowledge and company records, expressly excluding privileged legal advice.